To: CFO, Amy's Pillows
From: Linh Phan, Accounting Analyst
Date: April 29, 2025
Subject: Variance Analysis for September 2023 Performance

Dear CFO,

This memo outlines the significant variances from the September 2023 Performance Report for Amy's Pillows, specifically focusing on those exceeding the 10% threshold for investigation as per our management-by-exception policy. Three variances require our attention: Direct Labor, Variable Overhead, and Advertising. Below, I detail each variance, propose potential causes, recommend actions, and include data visualizations to support decision-making.

Variances Requiring Investigation

- **Direct Labor**: $4,150 Unfavorable (40.69%)
- **Variable Overhead**: $1,000 Favorable (16.81%)
- **Advertising**: $4,000 Unfavorable (40.00%)

Detailed Analysis and Recommendations

1. Direct Labor Variance ($4,150 Unfavorable, 40.69%)

- **Description**: Actual costs ($14,350) far exceeded the Flexible Budget ($10,200) for 3,400 units, with a per-unit cost of $4.22 versus $3.00 budgeted.
- **Potential Causes**:
    - Overtime or higher wage rates due to staffing shortages.
    - Inefficiencies from untrained staff or production bottlenecks.
    - Equipment issues are increasing labor hours.
- **Recommendations**:
    - Audit payroll for overtime or rate discrepancies.
    - Review production logs to identify inefficiencies.
    - Invest in training or equipment maintenance to reduce labor costs.

- **Strategic Impact**: Uncontrolled labor costs threaten profitability and require immediate action.

2. Variable Overhead Variance ($1,000 Favorable, 16.81%)

- **Description**: Actual costs ($4,950) were below the budgeted $5,950, with a per-unit cost of $1.46 versus $1.75.
- **Potential Causes**:
  - Efficient utility or maintenance practices.
  - Fewer machine setups or operational hours.
  - Overestimated overhead rates in the budget.
- **Recommendations**:
  - Analyze utility and maintenance records to confirm efficiencies.
  - Adjust future budget rates if consistently overstated.
  - Document best practices to maintain savings.
- **Strategic Impact**: These savings enhance margins and could inform cost optimization strategies.

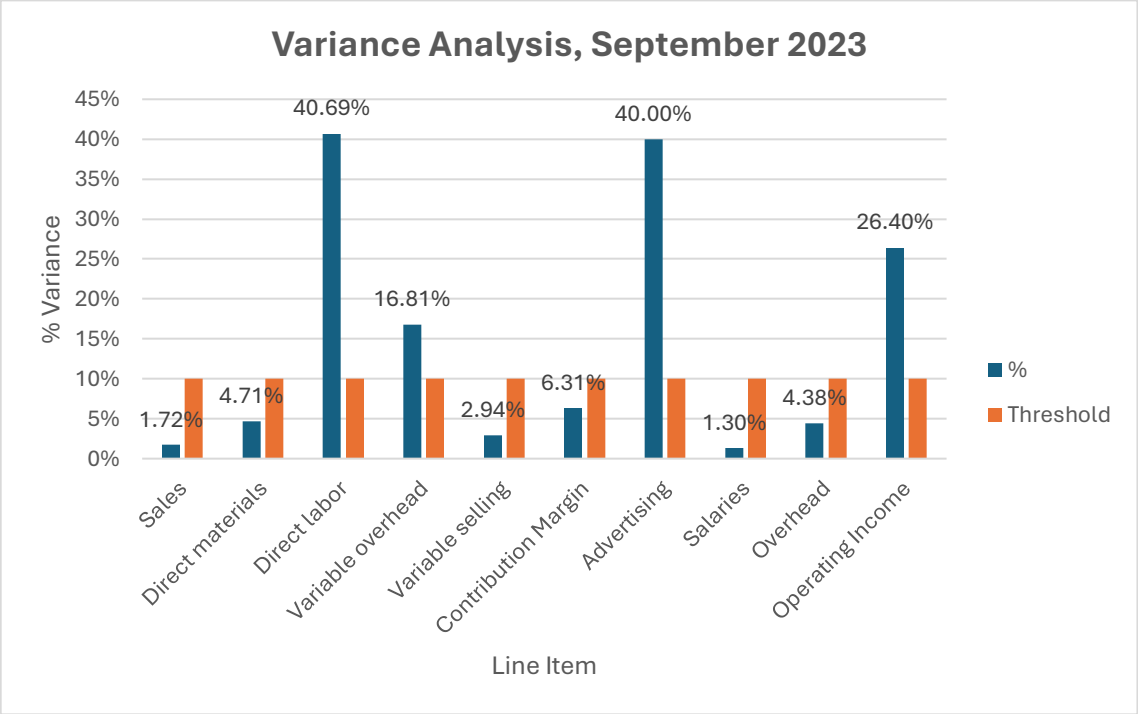
3. Advertising Variance ($4,000 Unfavorable, 40.00%)

- **Description**: Actual advertising expenses of $14,000 exceeded the budgeted $10,000 by $4,000 (40.00%)
- **Potential Causes**:
  - Unplanned campaigns to drive sales (actual volume: 3,400 vs. 3,000 budgeted).
  - Higher costs for digital or print ads.
  - Strategic push for market share growth.
- **Recommendations**:
  - Verify campaign details and authorization with marketing.
  - Assess ROI by correlating spending with sales growth.
  - Implement tighter budget controls for marketing.
- **Strategic Impact**: While spending may boost sales, unbudgeted costs reduce profitability and need oversight.

Data Visualizations

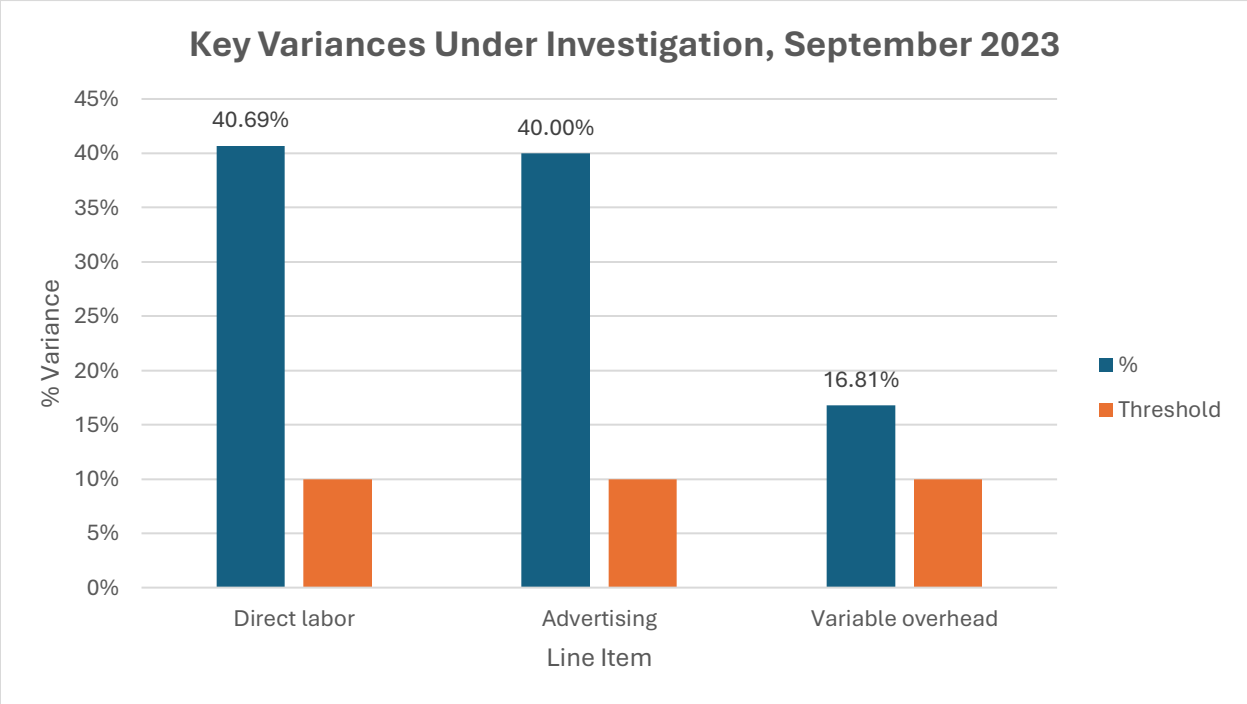
Created in Excel and clarified variance impacts:

1. **Bar Chart: Variance Percentages**
    - **Purpose**: Highlights variances exceeding the 10% threshold.
    - **Details**: Shows percentage variances for shaded line items (e.g., Direct Labor: 40.69%, Advertising: 40.00%). A 10% threshold line is included.
    - **Title**: "Variance Analysis, September 2023"



The bar chart titled "Variance Analysis, September 2023" displays the percentage variance for various financial line items about a predefined 10% threshold. Blue bars represent the actual percentage variances, while orange bars indicate the threshold. Key insights from the chart include significant variances in Direct Labor (40.69%), Advertising (40.00%), and Operating Income (26.40%). These figures greatly exceed the threshold, suggesting notable deviations from expectations. Conversely, smaller variances are observed in Salaries (1.30%), Sales (1.72%), and Variable Selling (2.94%), all of which fall well within the acceptable range.

2. **Bar Chart: Key Variances Percentages**
    - **Purpose**: Highlight the percentage variances for Direct Labor, Variable Overhead, and Advertising that exceed the 10% threshold, focusing the CFO on key areas requiring investigation per Amy's management-by-exception policy.
    - **Details**: Shows percentage variances for Direct Labor (40.69%), Variable Overhead (16.81%), and Advertising (40.00%), all exceeding the 10% threshold and marked in blue (should be red per memo). A 10% threshold line (orange) indicates the investigation cutoff.
    - **Title**: Key Variances Under Investigation, September 2023.



The bar chart titled "Key Variances Under Investigation, September 2023" highlights three cost line items—Direct labor, Advertising, and Variable overhead—with their respective percentage variances significantly exceeding a set 10% threshold. Direct labor shows the highest variance at 40.69%, followed closely by advertising at 40.00%, while Variable overhead has a smaller yet notable variance of 16.81%. All three variances surpass the threshold, indicating areas that warrant further analysis and possible corrective action.

Conclusion

The Direct Labor, Variable Overhead, Advertising, and Operating Income variances, exceeding 10%, require urgent investigation to protect profitability. Recommended actions include auditing labor and advertising costs, confirming overhead efficiencies, and reviewing pricing. The attached visualizations highlight key concerns. Please advise if further analysis or support is needed.

Sincerely,
Linh Phan